

recognizing that his original premise was wrong and his ability to reverse his trading posture turned a potentially disastrous year into a winning one. As another example, Mai's best trade of 2011 came from shorting dry bulk shippers, a trade idea that, ironically, originated with the premise that these companies represented a buying opportunity. However, when in doing his research Mai realized that he was not only wrong, but that he had it exactly backward, he reversed his original trading plan. Clark emphasizes that good traders can change their minds in an instant. They can be absolutely convinced the market is going higher one moment and just as convinced it is going lower in the next.

5. The Need to Adapt

It would be nice to believe that if you can find a trading methodology that works and also have the discipline to apply it consistently, then trading success is assured. Unfortunately, the real world is a bit more difficult. Markets change, and strategies that work may eventually deteriorate. Good traders need to be vigilant to the possibility that a once reliable approach may lose its efficacy or even become a losing strategy due to changing market conditions. For example, Thorp was able to maintain the strong return/risk of his statistical arbitrage approach by continually adapting it. By the time he got to the third iteration, the original system had significantly degraded. Platt, whose firm BlueCrest trades both discretionary and systematic strategies, believes that systematic approaches must continually be revised or else they will degrade. He describes the process as "a research war." Balodimas had to adapt a less aggressive posture in positioning against ongoing trends once he realized that the growing participation of hedge funds was resulting in smoother and more prolonged market trends. Had he not responded to the changing market environment, his previous successful approach would likely have led to large losses.